Raj Kumar Khatri vs State (Govt Of Nct Of Delhi) on 13 August, 2025

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* IN THE HIGH COURT OF DELHI AT NEW DELHI
+ BAIL APPLN. 1559/2025
RAJ KUMAR KHATRI
Through: Mr
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versus
STATE (GOVT OF NCT OF DELHI) .....Respon
Through: Ms.Priyanka Dalal, APP for th
alongwith Insp. Kishan Vir Si
P.S.-Sec. VI, EOW
CORAM:
HON'BLE MR. JUSTICE ARUN MONGA
ORDER

% 13.08.2025

1. Claiming himself to be falsely implicated, the applicant herein seeks indulgence of this Court for grant of bail in the criminal proceedings arising out of FIR No. 16/2021 dated 20.01.2021 for alleged offences under Sections 419/420/468/471/120B/406/420/406/120B of the IPC, registered at P.S. Economic Offences Wing.

2. Per FIR, the prosecution's case, shorn on unnecessary details, the complainant, Sohan Lal Jeerh, a 78-year-old is a Non-Resident Indian (NRI) residing in Canada. In his complaint, addressed to the Economic Offences Wing, allegations are of large-scale fraud, criminal breach of trust, forgery, and conspiracy, primarily against one Mr. Raj Kumar Khatri, also known as Kumar Raj or Raj Aryan, and his associates.

2.1 The complainant states that during one of his visits to India, in the year 2011-2012, he came into contact with the principal accused, Raj Kumar Khatri, who introduced himself as a high-profile businessman and This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 13/08/2025 at 23:26:24 chairman of an organisation styled as the "All India Handicrafts Association." Khatri allegedly projected himself as the proprietor of a firm named "Trimurti Impex" and claimed to have vast political and bureaucratic connections.

2.2 Sohan Lal alleges that Khatri allured him into a proposed business partnership involving ownership and trade in two prominent hotels under construction at Aerocity, New Delhi, namely "Novotel" and "Pullman." Believing Khatri's representations, and persuaded by his assurances, the complainant agreed to enter into a registered partnership agreement dated 16.04.2012, whereunder

he was promised a majority stake (initially 55%, later revised to 51%) in the hotel business, in exchange for transferring substantial immovable assets located in Canada, allegedly valued at approximately Rs. 350-400 Crores.

2.3 It is further alleged that under the guise of facilitating the partnership and investment, Raj Kumar Khatri orchestrated the creation of a Canadian company titled "Ruhani Constructions" with one Ferlyn Chmelyk (a Canadian national-now deceased), acting in collusion with the accused. Through this company, the complainant's Canadian properties were systematically transferred and encumbered, without any corresponding investment or return being made towards the promised hotel project in India. 2.4 The complainant informed that the accused not only failed to deliver on the partnership agreement but also began to avoid communication and resorted to delaying tactics. It is alleged that forged documents, including an offer letter purportedly from a reputed corporate group (Dalmia Group), were used to mislead and stall the complainant. Upon further inquiry, the complainant came to believe that these documents were fabricated.

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The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 13/08/2025 at 23:26:24 2.5 According to the FIR, Raj Kumar and his associate Ferlyn allegedly mortgaged or sold the complainant's Canadian properties to various financial institutions, defrauding him of substantial sums. The complainant also claims that proceeds from these fraudulent activities were transferred illegally to Indian bank accounts belonging to Raj Kumar or his companies, suggesting possible violations of foreign exchange and money laundering laws.

2.6 The complaint also levelled allegations of physical assault and criminal intimidation against Raj Kumar and his associates, particularly an incident at a property in Vikaspuri, New Delhi, over which the complainant claims partial ownership. It is alleged that Khatri had been deriving rental income from the said property while misrepresenting facts regarding its ownership and sale.

2.7 Allegations also include misuse of blank and signed documents obtained from the complainant, emotional manipulation under the guise of familial bonding, fraudulent sale of a studio apartment in Noida, and misappropriation of significant personal funds (including INR 17 Crores), which were allegedly spent on Khatri's personal expenses and travel.

3. In the aforesaid backdrop, I have heard the rival contentions and perused the case file.

4. Learned counsel for the applicant contends that the complainant along with the former advocate, Sunil Kumar Sharma of the applicant (who switched allegiance), has concocted all the allegations as levelled in the complaint filed before the Economic Offences Wing. It is submitted that Sunil Kumar Sharma was the applicant's counsel during the state investigation. Later, he became the complainant's advocate and witness PW-

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The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 13/08/2025 at 23:26:24 2 in the present case. It is further submitted that many facts and admissions reveal a clear criminal conspiracy, to falsely implicate the petitioner/applicant herein. The aforesaid counsel also usurped the properties of the applicant under the guise of settlement of the matter with complainant, is the argument advanced.

4.1 It is submitted that the fraud has, in fact, been committed by a Canadian company, namely, M/s Ruhani Construction Inc against which complainant started proceedings. The said company took his 11-12 properties of Canada. Moreover, the aforesaid has been admitted by the complainant in his Cross Examination dated 21.12.2024 that "he has made complain in 2014 and 2015 against Ferlyn who was the director of the Assets Management Company" and the matter was pending in the Court of Canada.

4.2 The counsel also points out that the chargesheet has been filed and the investigation is complete. He submits that custodial investigation of the applicant is not required for any purpose. The trial is not expected to conclude in a very long time. He refers judgment rendered in Sanjay Chandra vs. CBI (2012) 1 SCC 40 to buttress his submission that detention cannot be made punitive before conviction.

4.3 He also submits that the applicant is deeply rooted in the society and there is no risk of him absconding. Moreover, he submits that the applicant, a 55-year-old Indian citizen, is suffering from old-age-related ailments. His family is facing hardships as he is the sole breadwinner due to financial problems. His two minor children, aged 5 to 7. The applicant's wife is suffering from neurological problems and undergoing treatment at AIIMS, Delhi. He is the sole male member in the family.

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5. Opposing the bail plea, the learned APP for the State argues that the applicant is not entitled to bail, at this stage. He may indulge in repeat offence if he is released on bail.

5.1 Moreover, she submits that he is involved in three other cases and given his background, it is highly unlikely that his whereabouts would remain traceable if released on bail.

5.2 She submits that the application was granted interim bail on 14.10.2022 in light of the settlement, but he did not hold up to his end of the settlement. He did not even surrender before the Court on expiry of interim bail. Subsequently, NBWs were issued against the applicant and thereafter he was arrested.

6. Having heard, it transpires that the applicant was arrested on 17.07.2021. Subsequently, he was sent to Judicial Custody on 23.07.2021 and has been in custody for approx. two years and nine months.

7. On a Court query put to the learned APP for the State qua the stage of the investigation, she would submit that the same is complete and chargesheet has been filed.

8. Assuming the worst-case scenario, the maximum punishment under Section 420 IPC is seven years. Given that the applicant has already undergone almost three years of this period in pre-trial custody, continued incarceration would be excessive and unwarranted. If it were a case of suspension of sentence post-conviction, the applicant would likely be eligible for relief based on time already served.

9. The alleged cheating relates to inducement into business with intent to siphon off the funds through back-channel remittances. The evidence is primarily documentary and has already been seized during investigation.

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10. It is also not in dispute that the investigation is complete. The need for custodial interrogation, therefore, does not arise now. Trial is proceeding but at a snail's pace.

11. The applicant has already spent considerable time in custody, and the trial is unlikely to conclude in the near future, infringing his fundamental right to a speedy trial under Article 21 of the Constitution. The applicant is not a habitual offender and no recovery has been made from him; all material evidence is documentary in nature and has already been seized, rendering his custodial interrogation unnecessary.

12. The applicant is an ailing person with various diseases. His wife is also ailing with Periventricular white matter T2-signal hyperintensities and treatment is going on in AIIMS, New Delhi. He is a father of 2 children who in his absence, are not able to attend school because of financial constraints.

13. Taking a comprehensive view of the matter, this Court finds no further purpose in keeping the applicant in prolonged pre-trial custody. Accordingly, in respect of FIR No. 16/2021 dated 20.01.2021 for alleged offences under Sections 419/420/468/471/120B/406/420/406/120B of the IPC, registered at P.S. Economic Offences Wing, the applicant is directed to be released on bail upon furnishing a bail bond and surety of equivalent amount, to the satisfaction of the learned Trial Court, and subject to usual conditions.

14. Any observation made herein above is only for the purpose of disposing of the instant bail application and not to be construed, in any manner, as any expression on the merits of the pending case and the trial shall proceed without being influenced either way by the same. In case the This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 13/08/2025 at 23:26:24 applicant is found involved in any repeat offence while on bail, the prosecution shall be at liberty to seek cancellation of the bail granted to the applicant in the present case vide instant order.

15. Accordingly, the bail application stands disposed of in the above terms.

ARUN MONGA, J AUGUST 13, 2025/dy This is a digitally signed order.

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